

# Ultra Sound Money

## Ethereum's Post-Merge Supply Dynamics & Monetary Premium

A data-driven analysis of ETH's deflationary mechanics, burn/issuance dynamics, and long-term supply projections

CURRENT SUPPLY

**121,603,980 ETH**

BASE GAS

**0.1 Gwei (historic  
low)**

ETH PRICE

**\$2,243 USD**

Source: [ultrasound.money](https://ultrasound.money) | For crypto-native investors & Ethereum ecosystem participants

# 7-Day Supply Change: +19,445.89 ETH Net

Issuance dwarfs burn — 0.01x offset ratio means burns offset only ~1% of new issuance

NET SUPPLY CHANGE

+19,445.89 ETH

ETH ISSUED (7D)

+19,638.29 ETH

ETH BURNED (7D)

192.39 ETH

ANNUALIZED RATE

+0.83%/year

## ETH (7-day)



### Key Insight

At 0.01x offset, the burn mechanism is effectively dormant. Current 0.1 Gwei gas vs. the 22 Gwei needed for equilibrium reveals a 220x gap that must close for deflationary dynamics.

**Total Supply: 121,603,980 ETH**

Offset Ratio: 0.01x (burns = ~1% of issuance)

# Base Gas at Historic Lows: 0.1 Gwei Average Suppresses Fee Burn

EIP-1559 burns base fee on every transaction — but ultra-low gas prices mean minimal ETH destruction

## 7-Day Gas Market

Minimum: 0.0 Gwei

**Average: 0.1 Gwei**

Maximum: 1.3 Gwei

**Equilibrium target: 22 Gwei (220x above current)**

## Blob Gas (EIP-4844 / L2 DA)

Average blob gas: 7,144,934 wei

**Total blob fee burn (7D): 0.15 ETH**

USD value: \$319

L2 data availability cost is near-zero

## EIP-1559 Burn Mechanism

Every Ethereum transaction pays a base fee that is algorithmically determined by network demand.

This base fee is permanently destroyed (burned), removing ETH from circulating supply.

**When gas > ~22 Gwei avg: Burn exceeds issuance = deflationary supply (ultra sound money)**

**When gas < ~22 Gwei avg: Issuance exceeds burn = inflationary supply (current state)**

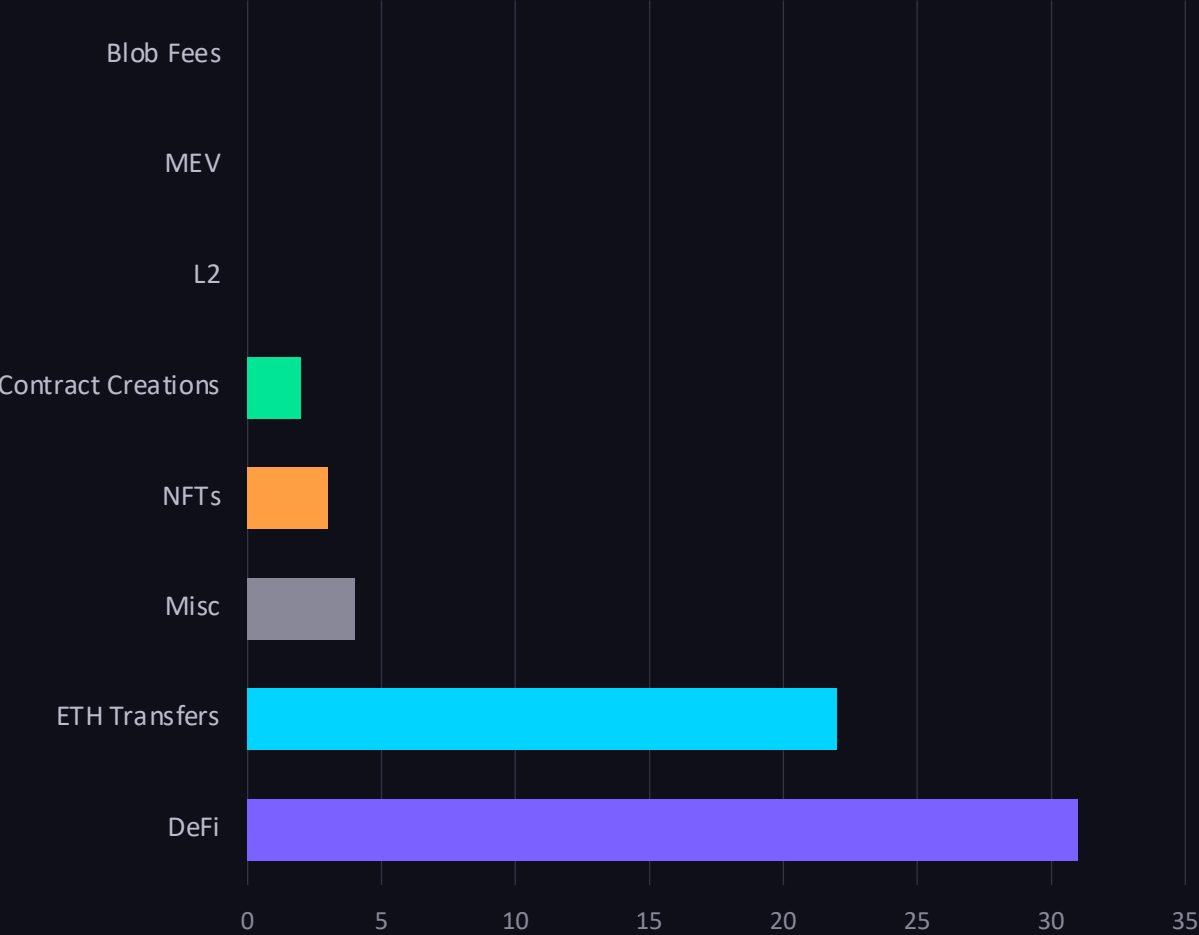
PoS issuance: ~2,800 ETH/day | Burn at equilibrium: ~2,200 ETH/day | Per-block burns at current levels: 0.00-0.01 ETH

7-day burn record: 0.07 ETH in a single block — reflecting the extremely low fee environment

# DeFi & ETH Transfers Account for 85% of Weekly Fee Burn

Burn leaderboard reveals where on-chain activity — and thus monetary value accrual — concentrates

## ETH Burned (7D)



### Top Burn Leaderboard (7D)

|    |               |           |
|----|---------------|-----------|
| #1 | ETH Transfers | 21.74 ETH |
| #2 | Tether (USDT) | 13.55 ETH |
| #3 | Various DeFi  | remaining |

**Total 7D Burn: ~192 ETH**

### Category Breakdown

|                   |        |       |
|-------------------|--------|-------|
| DeFi:             | 31 ETH | (50%) |
| ETH Transfers:    | 22 ETH | (35%) |
| Misc:             | 4 ETH  | (6%)  |
| NFTs:             | 3 ETH  | (5%)  |
| Contracts:        | 2 ETH  | (3%)  |
| L2 / MEV / Blobs: | 0 ETH  | (0%)  |

# 38.9M ETH Staked (32% of Supply) — Validators Earn ~2.9% APR

Staking locks significant supply, but rewards come almost entirely from protocol issuance, not organic fees

TOTAL STAKED

38.9M ETH

% OF SUPPLY

~32%

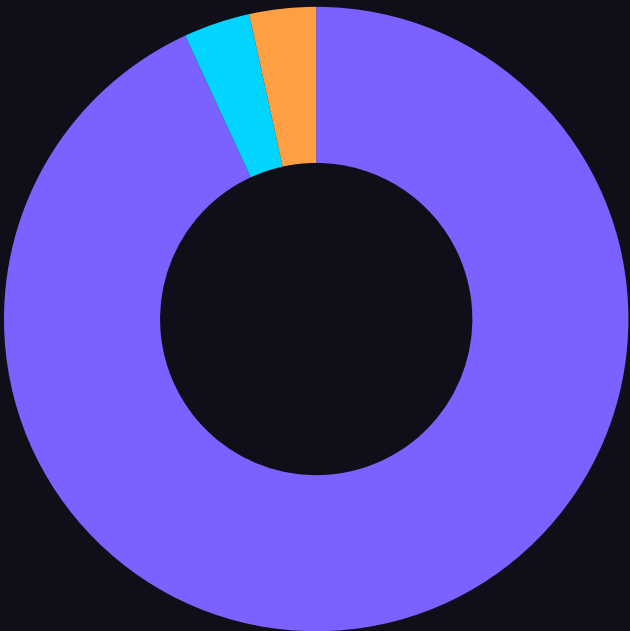
TOTAL APR

~2.9%

SCARCITY LOCK

9.1M ETH /  
10.7yr avg

## APR Breakdown



■ Issuance (2.7%) ■ Tips (0.1%) ■ MEV (0.1%)

## Validator Reward Breakdown

### Per Validator:

Issuance: 0.9 ETH/validator (2.7% APR)

Tips: 0.0 ETH/validator (0.1% APR)

MEV: 0.0 ETH/validator (0.1% APR)

### Scarcity Engine

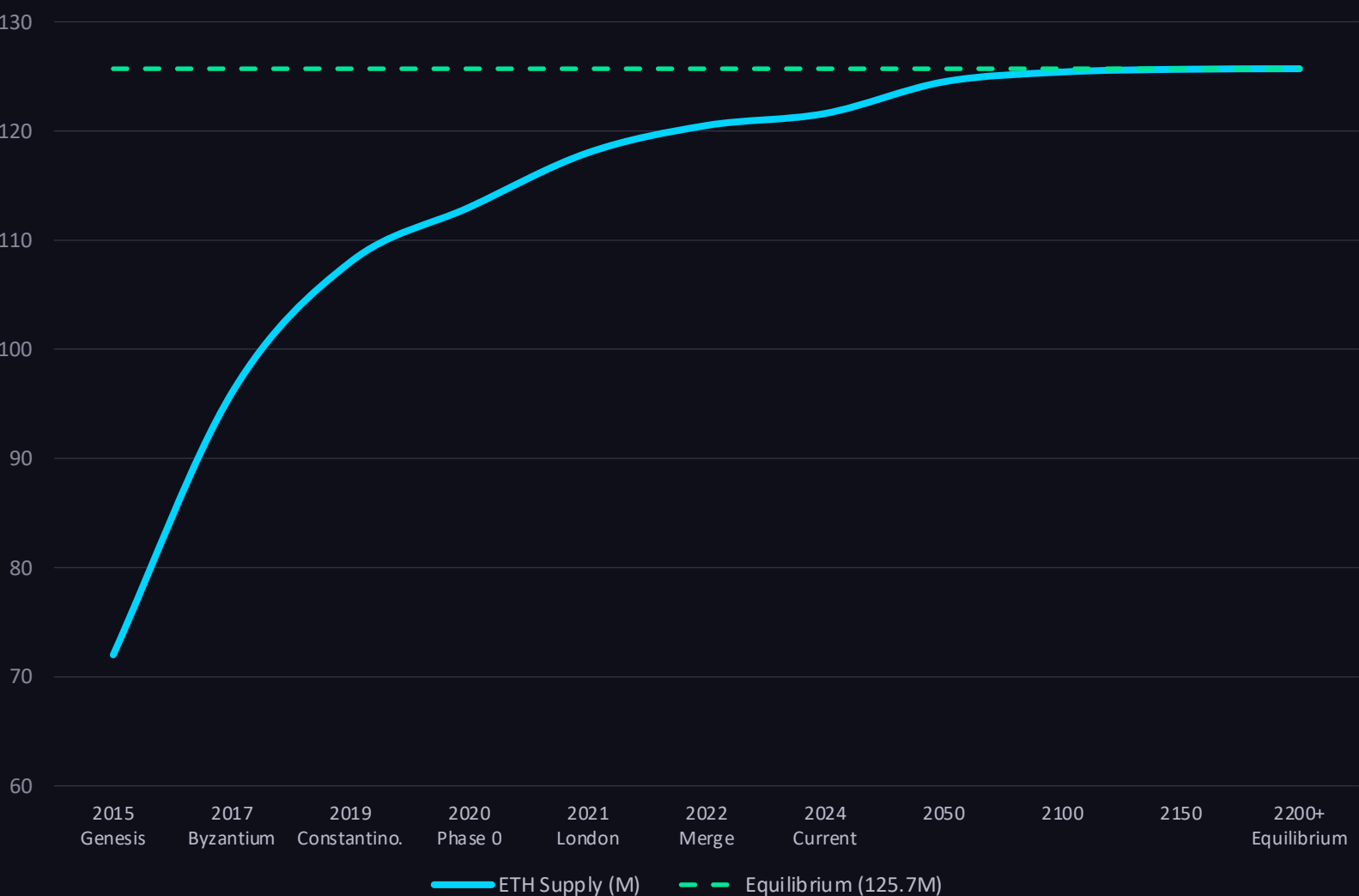
9.1M ETH locked in staking contracts

Average lock duration: 10.7 years

93% of validator rewards come from protocol issuance — organic fee revenue (tips + MEV) is negligible at current activity levels, mirroring the suppressed burn dynamics.

# 200-Year Projection: Supply Converges to 125.7M ETH Equilibrium

Assumes 39M ETH staked and 22 Gwei average base gas — issuance and burn balance at ~1,037K ETH/year



## Projection Parameters

Staked: 39M ETH

Avg gas: 22 Gwei

### At Equilibrium:

Issuance = Burn

~1,037K ETH/year

### Staker rewards:

2.7%/year issuance

### Non-staker dilution:

1.2%/year effective

burn rate

### Historical Eras:

Genesis: 5 ETH/block

Byzantium: 3 ETH/block

Constantinople: 2 ETH/block

Merge: PoW removal

# ETH at 18.7% of Bitcoin's Market Cap — \$307.6B Total Value Secured

Growing monetary premium with dominant native value, complemented by ERC20 and NFT ecosystems

VS BITCOIN

18.70%

VS GOLD

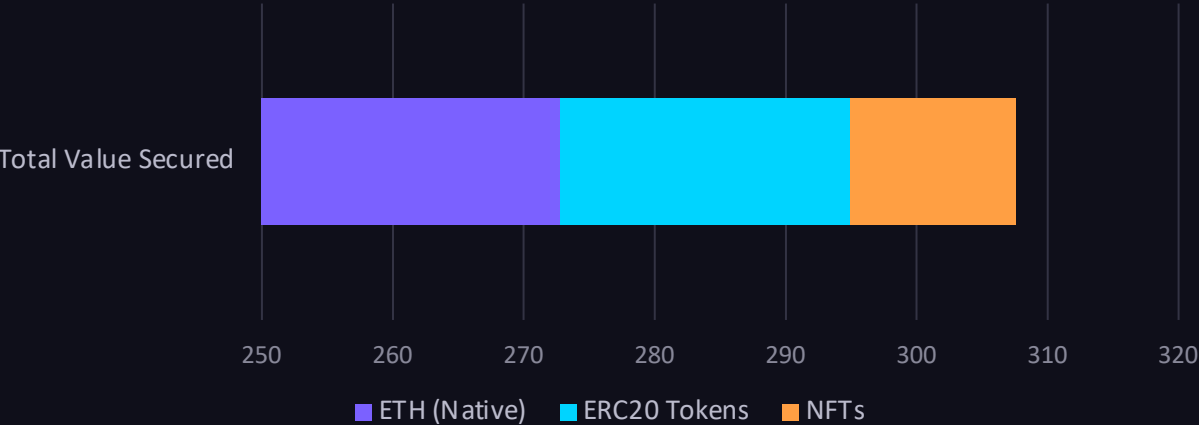
0.89%

VS USD

1.30%

TOTAL TVS

\$307.6B



## TVS Composition

ETH (Native): \$272.76B (88.7%)

ERC20 Tokens: \$22.21B (7.2%)

NFTs: \$12.66B (4.1%)

**Total: \$307.63B**

## Top ERC20s by Value

Dai: \$4.41B | SHIB: \$3.51B | Cronos: \$2.97B | Tether Gold: \$2.65B

## Top NFT Collections

CryptoPunks: \$2.13B | BAYC: \$0.68B | ENS: \$0.63B | Pudgy Penguins: \$0.51B

# Key Takeaways: Ultra Sound Money Thesis — Intact, Conditional on Activity

The structural mechanics are proven; the variable is on-chain demand recovery

1

## Mildly Inflationary — For Now

ETH supply growing at +0.83%/year due to historically low gas (0.1 Gwei avg). Burns offset only ~1% of issuance (0.01x ratio).

2

## Burn Mechanism Works — Needs Volume

EIP-1559 is functioning as designed. DeFi and ETH transfers drive 85% of burns. Sustained on-chain activity above 22 Gwei is required for deflation.

3

## Massive Supply Lock via Staking

38.9M ETH (32% of supply) staked. 9.1M ETH locked for avg 10.7 years. Validators earn ~2.9% APR, primarily from issuance.

4

## Equilibrium Is Structurally Sound

200-year projection converges to 125.7M ETH. At equilibrium, issuance = burn at ~1,037K ETH/year with 39M staked and 22 Gwei gas.

5

## Growing Monetary Premium

\$307.6B in Total Value Secured. 18.7% of Bitcoin market cap. ETH as a monetary asset is nascent but demonstrably gaining ground.

Source: [ultrasound.money](https://ultrasound.money) | 6,000+ community members tracking ETH supply dynamics | The ultra sound money thesis is data-driven, not faith-based.